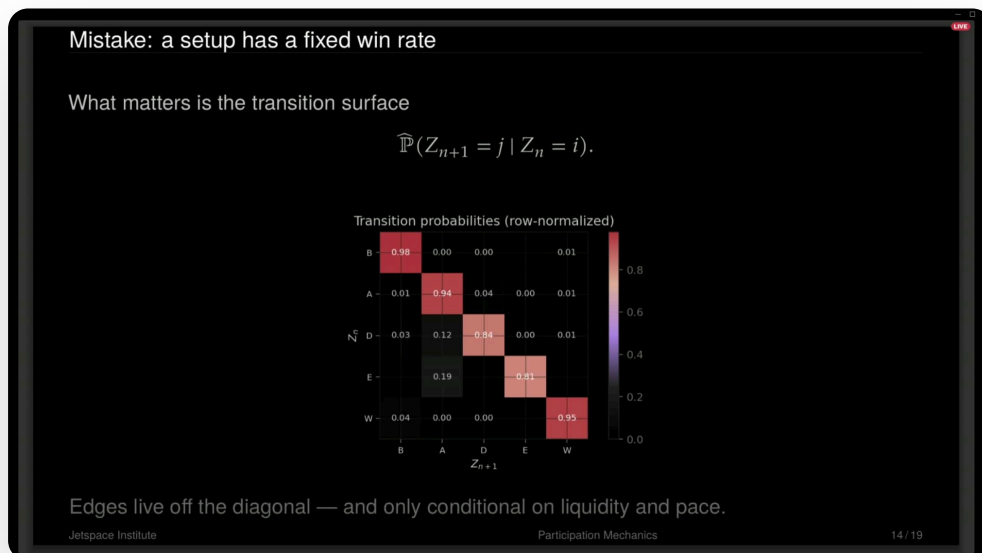




The Math Behind Auction Market Theory

Why "a setup has a fixed win rate" is a mathematical impossibility, and the top 3 fixes for reading auctions correctly

SIRES × JETBUNDLE × ETHOS ORDER FLOW



7 MISCONCEPTIONS • 5 STATES • TOP 3 FIXES • 16 PAGES

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every rule in this document, printable

Why this document exists

a quant's diagnosis of what's wrong with how AMT gets taught

This one came out of a Discord collab with jetbundle, a math and quantitative finance channel, brought in to look at Auction Market Theory from completely outside retail trading. His diagnosis of most AMT education: it stems from a basic misunderstanding of causality. Traders equate volume changes with acceptance, resting size with support and resistance, and specific patterns with specific edges, then build a whole trading identity on definitions that were never rigorous to begin with.

His argument, stripped of the jargon: an auction is a process, not a picture. It's the interplay of participants providing, withdrawing, and consuming liquidity to establish value. Without some framework for that, a discretionary trader is projecting a narrative onto noise instead of watching the actual mechanics of who's participating. The math isn't there to replace your discretion, it's there to discipline it: evaluate conditions first, size second, and stop using math to confirm a feeling you already had.

How this document is split. The first half is jetbundle's framework: seven misconceptions, participation as three verbs, and the states alphabet, illustrated on real AAPL order book data. The second half is Sires taking the same ideas onto a live NQ chart for a Discord Q&A, and the top three fixes he gave for reading auctions correctly.

Seven misconceptions

the checklist that collapses a high-dimensional auction into a single number

Each one on this list does the same thing: it takes a high-dimensional auction, a real process with dozens of moving parts, and collapses it down to a single number or a single glance at the chart. That's the pattern to watch for, not just the seven examples themselves.

- 01 High volume means acceptance.
- 02 Aggressive buying means the next tick is up.
- 03 Large resting size is support or resistance.
- 04 Large traded size at a level is absorption.
- 05 Static imbalance predicts direction.
- 06 "Value" is a single price.
- 07 A setup has a fixed win rate.

| *Avoidance rule: measure participation, then measure response.*

Participation is three verbs

provide, withdraw, consume, and why your screen has to agree with the record

Participation = provide + withdraw + consume. Everything you can observe about an auction reduces to those three actions repeating at every price level, over and over, all session.

jetbundle draws a line between what discretion sees and what the math uses. What discretion sees: depth of market, tape, footprint. What the math uses: submits, cancels, executions. Same auction, described in two different languages, and financially sound discretion only starts once those two languages agree. If the tape suggests buying but the book shows massive cancels behind it, your read of the tape is a hallucination, not a trade.

Same auction, two languages. Screen language is what you see and feel making a discretionary call. Record language is submits, cancels and executions, the raw mechanics underneath it. When they disagree, trust the record.

Imbalance is not a directional oracle

replenishment is the only question that matters

A resting order book imbalance, more size sitting on one side than the other, feels like it should tell you direction. It doesn't, at least not on its own. Treated as a static snapshot, it's what jetbundle calls a directional oracle that isn't actually oracular: a discretionary trader reacting to a lopsided book in isolation is trading noise.

The only question that actually matters once price approaches a level: is that size replenishing, or is it vanishing? An imbalance that keeps refilling as it gets consumed is a completely different situation from one that's disappearing into fills. That's the real signal, and it's a dynamic one, not a screenshot.

Aggression and response efficiency

effort without move, and the discipline of not fading discovery

Aggressive buying does not mean the next tick is up. Aggression on its own is neither bullish nor bearish, it only means something once you measure it against the efficiency of the price displacement it actually produces. The same aggressive force, applied in two different participation environments, produces two financially distinct outcomes.

When price displaces efficiently in response to aggression, that's discovery, and the rule is simple: don't fade discovery. When the same aggression goes nowhere, that's a candidate for absorption, and the rule there is just as simple: don't chase a failed aggressive push without evidence that the other side is actually replenishing.

Absorption, properly defined

the three conditions, and why exhaustion is the real risk

Large traded size at a level is not automatically absorption, and treating it that way is one of the most common sources of false entries. Real absorption needs three things present together: high aggression, real demand for immediacy; low response efficiency, price refusing to displace despite that demand; and the opposite side of the book holding and refilling as it gets consumed, not just sitting there.

Exhaustion is what happens when you're reading an absorption trade correctly but the liquidity behind it fails anyway, the replenishment stops and the level gives way. That's the actual mechanism behind slippage on a failed absorption trade, not bad luck.

Value is a statistical regime

not a horizontal line on your chart

Value area high and value area low get treated as fixed lines, but value itself is a statistical regime, not a price. Local value is characterized by two-sided executions and frequent, recent revisits, low aggression on both sides.

Learn to read that regime directly rather than anchoring to wherever the software happens to have drawn the line, because that line moves as more volume builds. Trade it like it's fixed and it becomes a lagging indicator you're entering into, not a level you're reading.

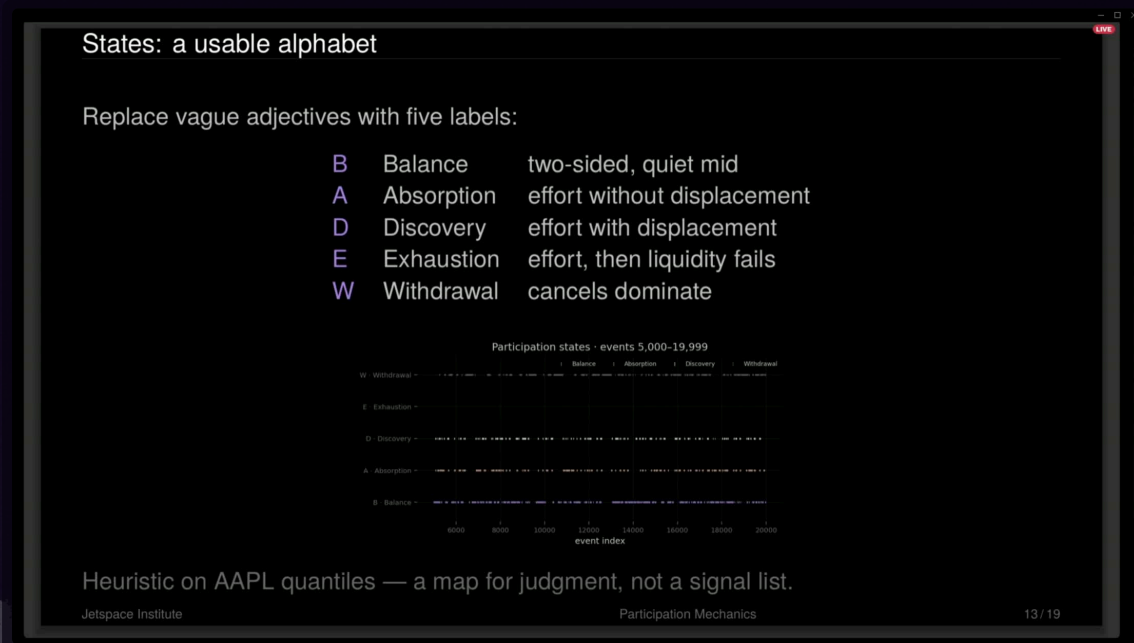
States: a usable alphabet

five labels that replace vague adjectives

Instead of describing an auction with vague adjectives, jetbundle uses five labels, each one a heuristic for judgment, not a signal for automation.

Label	State	Description
B	Balance	two-sided, quiet mid
A	Absorption	effort without displacement
D	Discovery	effort with displacement
E	Exhaustion	effort, then liquidity fails
W	Withdrawal	cancels dominate

FIVE STATES ACROSS 20,000 REAL ORDER BOOK EVENTS, AAPL



Real LOBSTER dataset, AAPL, 10 level book. Balance and Absorption dominate, which is normal. Most of an auction is spent doing nothing decisive.

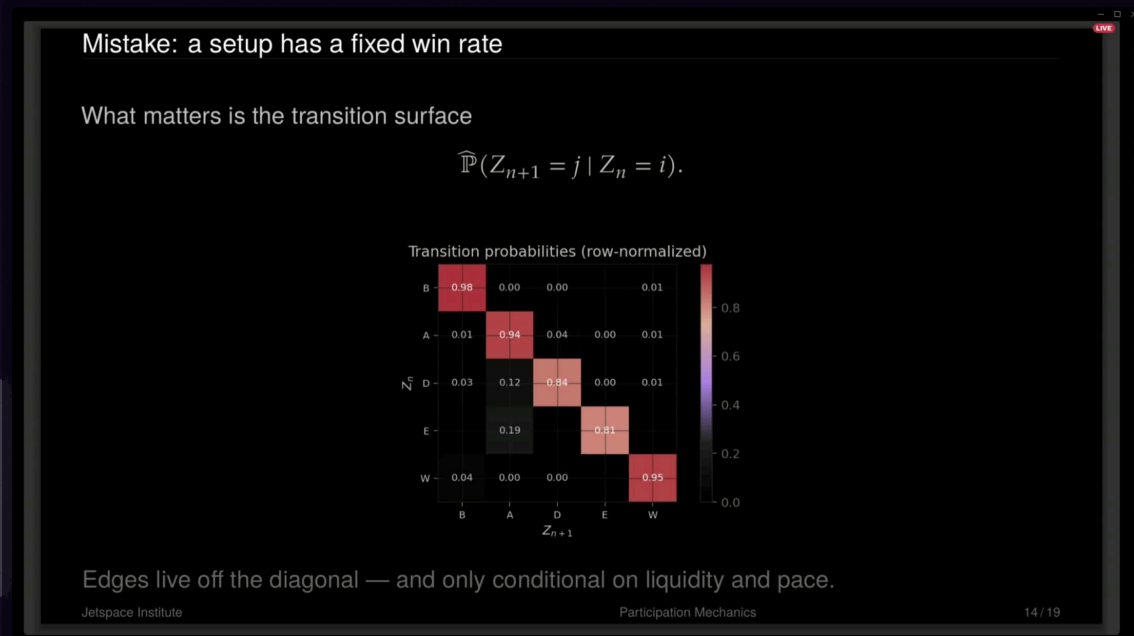
There is no fixed win rate

the transition matrix, and where the edge actually lives

A setup having "a 71% win rate" is a mathematical impossibility dressed up as a stat, because a setup isn't a fixed thing. It's a state that transitions into other states with different probabilities depending on conditions. What actually matters is the transition surface: given the current state, what's the probability of the next one?

The diagonal of that matrix is just persistence, balance staying balance, absorption staying absorption. The edge, if there is one, lives off the diagonal: in the moments where the state actually changes, balance shearing into discovery, absorption tipping into exhaustion. Those transition probabilities are only meaningful conditional on current liquidity and pace, not fixed constants you can memorize.

REAL TRANSITION PROBABILITIES, ROW-NORMALIZED, SAME AAPL DATA



Read row to column. Starting in Discovery (D), there's an 84% chance the next state is Discovery again, but a 12% chance it slips back to Absorption.

Fix one: trade the current auction

not the one from five days ago

Once jetbundle handed off, Sires took live questions from the server, and the first fix he named was the most common problem in the room: traders anchoring to auctions from days ago on a chart built for scalps and intraday setups. If you're trading a prop firm intraday, most setups run ten minutes to two hours, not three or four days, so the current auction is what should be driving your bias, not a level from last week.

On the daily profile, once price is inside an established balance, the only honest read is that it stays there until one side breaks it. Waiting for a rejection or a break before picking a direction beats guessing a side from outside the current range.

CURRENT AUCTION: STILL INSIDE AN ESTABLISHED BALANCE



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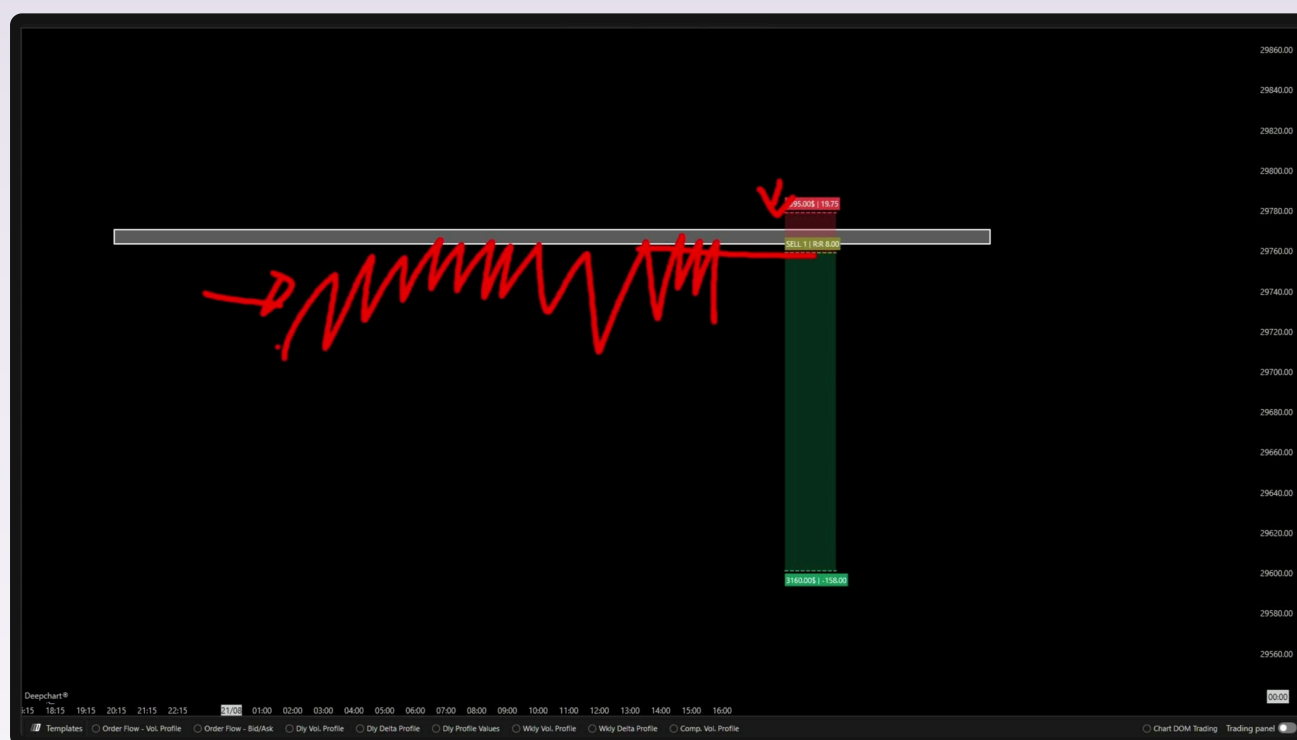
Fix two: real extremes need two transitions

the difference between a shelf, a ledge, and a tail

The second fix is about which levels actually qualify as extremes. Value area high and value area low are arbitrary, they shift as volume builds and behave like a lagging indicator if you trade them as fixed. Low volume nodes, ledges and shelves are the real extremes, but only once you understand transitions.

A low volume node needs a second transition after it, a return to balance, to actually count as one rather than just a tail, a taper of volume trailing off with nothing behind it. Same rule for a shelf versus a ledge: a shelf is volume gradually tapering into the next transition, a ledge is volume cutting off instantly with no taper at all. Mark either one without a second transition behind it and you're not looking at a real extreme, you're looking at noise that happens to look like one on the chart.

A SHELF DRAWN LIVE: VOLUME TAPERING TOWARD THE NEXT TRANSITION



Not an instant cutoff, which is what would make this a ledge instead. The taper itself is what earns it the name.

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Fix three: know what cycle price is in

pairing higher timeframe auction with a lower timeframe trigger

The third fix ties the first two together. Before taking any level, know whether price is in a balanced state or in price discovery. In balance, expect consolidating, two-sided moves, and take the reversal trades at the extremes. In discovery, price has already broken balance and is searching for a new one, and taking a reversal short into a discovery move higher just because "that's where sellers always show up" ignores what the auction is actually doing.

The dome, footprint, book map and heat map are all showing you close to the same information, and that's the lower timeframe entry trigger. But 90% of what shows up on the dome is noise unless it's paired with the higher timeframe auction first: know the cycle, know the level, then use the lower timeframe order flow to time the entry, never the other way around.

HIGHER TIMEFRAME FIRST: THE CURRENT BALANCE, MARKED



The checklist

every rule in this document, printable

READING THE AUCTION

- ☐ I can name a misconception I used to trade on (a fixed win rate, static imbalance, large size as automatic absorption), and I've stopped trading it that way.
- ☐ I know whether size at my level is replenishing or vanishing before I treat it as support or resistance.

ABSORPTION AND AGGRESSION

- ☐ I can point to all three conditions for absorption (high aggression, low response efficiency, the opposite side holding and refilling), not just one of them.
- ☐ I'm not fading a genuine discovery move, and I'm not chasing a failed aggressive push with no evidence of replenishment behind it.

READING EXTREMES

- ☐ My low volume nodes, ledges and shelves all have a second transition behind them, not just a taper I'm calling an extreme.
- ☐ I know whether price is in balance or in discovery before I decide which side of a level to trade.

PAIRING TIMEFRAMES

- ☐ I've identified the higher timeframe auction and the current cycle before I ever look at the dom or footprint for an entry trigger.

| *Stop reading folklore. Read participation. Size the response.*

Auction Market Theory survives only when the mathematics of the auction disciplines your own financial logic and discretion. Thanks to jetbundle for bringing a genuinely different lens to a Discord full of discretionary traders, and for a framework worth running against your own charts, not just reading once and forgetting.

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The live application of every fix in this document, walked through session by session, inside the mentorship.

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